Chips Give Back

S&P 500 −0.26% as the custom-silicon unwind resumes and a midday Iran headline tests the tape. Dividend Strategy +0.19% bucks the session. May CPI lands Wednesday morning.

THE SESSION

Monday's bounce did not get a second act. The custom-silicon names that led Friday's repricing and Monday's recovery rolled back over on Tuesday, and the S&P 500 finished −0.26% at 7,386.31 — a close that understates how the day actually traded. The Nasdaq fell 0.98% after being down as much as 3.5% in the early afternoon; the Dow added 0.17% and the Russell 2000 gained 0.41% as money rotated toward value, defensives, and small caps rather than leaving the market altogether. The VIX rose 4.49% to 19.77.

Two stories drove the tape, and they arrived in sequence. The first was a fresh leg of the custom-silicon unwind: headlines around a ByteDance custom AI chip arrangement put export-control questions and vertical-integration worries back at the center of the table, and the names most exposed to that theme — Qualcomm, Marvell, AMD — gave back a meaningful share of Monday's recovery. The second arrived near midday, when President Trump said the United States "must respond" after Iran shot down a U.S. Army helicopter near the Strait of Hormuz. The index, already soft, fell as much as roughly 2% on the comments before recovering most of that ground into the close.

The recovery matters as much as the drawdown. A tape that can absorb a kinetic-escalation headline at midday and walk most of the way back by four o'clock is a tape where positioning, not panic, is doing the work. Oil told a similar story — prices eased as the administration continued to frame an Iran agreement as close, even after the helicopter incident. Defense names firmed on the same headline set: Lockheed Martin rose 1.93% and General Dynamics 1.41%, both Dividend Strategy holdings, as the conflict premium that compressed on Monday's de-escalation framing was partially rebuilt.

Gold fell 1.87% to $4,281.90 and Bitcoin slipped 2.24% to $62,009, with the digital asset sleeve and the crypto-adjacent equities retracing a portion of Monday's bounce. Tomorrow morning brings the May CPI print — the single most consequential data point between here and the June 16–17 FOMC meeting, and the report that determines whether Friday's jobs-driven repricing consolidates or partially reverses.

IOWN Tactical: Neither the TRIM nor the BUY thresholds are in play. The S&P 500 sits well inside the band — no all-time-high drawdown trigger approached, no trim condition met. We own businesses through weeks like this one; the CPI print changes the discount rate conversation, not the ownership thesis.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

CRDO +5.42% — GROWTH PORTFOLIO

Whipsawed all week after last Monday's fiscal Q4 report — revenue more than tripled for the fiscal year — and caught a fresh bid Tuesday as buyers returned to the AI-networking name even while the broader chip complex sold off. One of the few semiconductors in the green on the day.

TOL +5.09% — GROWTH PORTFOLIO

Best day in the Growth Portfolio outside the connectivity names. Homebuilders rallied as Tuesday's existing home sales data landed against modest expectations and falling yields earlier in the session helped the rate-sensitive trade. Toll remains a sell-side favorite in the group following its Q2 beat last month.

SYK +4.14% — DIVIDEND STRATEGY

Medical devices caught the defensive-rotation bid as capital came out of the chip complex. Stryker has lagged badly this quarter; Tuesday's move recovers a piece of that, with the recently declared $0.88 quarterly dividend (up 4.8% year over year) payable July 31.

DGX +3.71% — DIVIDEND STRATEGY

Closed at $204.53, pennies from its session high, as healthcare defensives led the Dividend Strategy. Quest's lab-volume story continues to compound quietly — the kind of stock that works on days when the AI trade doesn't.

LMT +1.93% — DIVIDEND STRATEGY

Defense reflated after the midday Hormuz helicopter headline and the President's "must respond" remarks. Lockheed closed at $530.13, at the top of its daily range; General Dynamics added 1.41% on the same catalyst.

DECLINERS

MRVL –7.61% GROWTH PORTFOLIO

Gave back most of Monday's recovery as the ByteDance custom-ASIC headlines reignited worries about hyperscaler vertical integration — the exact pressure point in Marvell's filings. The stock joins the S&P 500 on June 22; the path there has been anything but quiet.

BKH –6.11% DIVIDEND STRATEGY

Sharpest decliner in the Dividend Strategy with no fresh company-specific headline; the shares continue to trade with the mechanics of the pending all-stock merger with NorthWestern Energy, and Tuesday's move stands out against an otherwise firm utility complex.

HUT –5.81% GROWTH PORTFOLIO

Bitcoin miners followed the underlying asset lower, with Bitcoin off 2.24% to $62,009. MARA fell 3.41% on the same dynamic as Monday's crypto bounce partially retraced.

QCOM –5.67% DIVIDEND STRATEGY

A sell-the-news reaction to the ByteDance custom AI silicon arrangement — strategically constructive for diversification, but it raised export-regulation questions on advanced AI chips tied to a Chinese customer and invited profit-taking after Monday's surge. The June 24 Investor Day is the next scheduled catalyst.

COIN –4.08% GROWTH PORTFOLIO

Retraced with the crypto complex. IBIT fell 2.09% and ETHA 1.89% (Digital Asset ETF) as the sleeve gave back a portion of Monday's recovery.

HOLDINGS NEWS

Abbott (Dividend Strategy) secured CE Mark for the world's first dual glucose-ketone sensing technology for diabetes management — an incremental but real extension of the Libre franchise's lead in continuous monitoring, and the kind of pipeline-to-product execution that underpins the position. Shares added 0.83%.

ONEOK (Growth Portfolio) drew a reiterated bullish stance from Bank of America. The shares eased 0.41% in a mixed energy tape; the midstream cash-flow story is unchanged.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.19%

vs. DVY +0.76% | SPY –0.29%

GROWTH PORTFOLIO ✗ TRAIL

–0.71%

vs. IUSG –0.65%

YEAR-TO-DATE

Dividend +13.73% vs DVY +10.23% / SPY +8.09%

Growth +15.89% vs IUSG +9.61%